

M/S Kamakhya Steels Pvt. Ltd. v. State of U.P. & Others

Allahabad High Court · Division Bench · 13 February 2026 · Writ - C No. 20210 of 2012 · **Writ petition allowed; final assessment dated 23.10.2007, the s.127 appellate order (Appeal No. 17 of 2007-08) and the consequential recovery order dated 09.04.2012 quashed; remitted to the assessing authority to reconsider the petitioner's objections and pass a fresh speaking order within two months, recording specific findings as to how a mere 'possibility of theft' can be treated as actual theft under s.135 of the Electricity Act, 2003 leading to provisional and final assessment under the U.P. Electricity Supply Code, 2005; amounts already deposited to remain with the licensee pending that order**

HEADNOTE

A surprise check of an industrial consumer's metering installation that itself records that 'no direct theft of electricity has been detected' and infers only a 'possibility of theft' from (i) tampered seals of the CT/PT chamber (the main meter seal not being found broken, and no bypass or artificial means being found) and (ii) line losses of 9.17% to 19.75% on a mixed 33 kV feeder serving three consumers, cannot without more support a finding of unauthorised use 'by way of theft' or an assessment under the U.P. Electricity Supply Code, 2005. A final assessment that merely marks each objection 'not accepted' and converts the inspection's 'possibility of theft' into a concluded case of theft without analysis is non-speaking and unsustainable; so is a Section 127 appellate order that brushes aside the grounds of appeal and affirms by reference to the checking report alone. The writ court quashed the assessment, the appellate order and the recovery citation, and remitted the matter for a fresh speaking order recording how, if at all, possibility of theft becomes actual theft within Section 135 and then a Code assessment. Amounts already deposited remain to abide that order. The Court did not decide the merits of whether theft in fact occurred.

HOLDING-UNITS

INTERPLAY · EA2003::135

An inspection that rules out direct theft and records only a 'possibility of theft' from CT/PT-chamber seals and mixed-feeder line losses cannot, without reasoned analysis, be converted into a finding of actual theft supporting a Code assessment

QUESTION

Can a licensee treat an inspection conclusion of mere 'possibility of theft' — where the checking report itself records that no direct theft was detected, the main meter was not found tampered, no bypass/artificial means were found, and the alleged line loss was on a mixed feeder serving three consumers — as a concluded case of theft under Section 135 justifying provisional and final assessment under the Supply Code?

HOLDING

No. The checking/summary report itself stated that although no direct theft had been detected in the metering system, certain facts (tampered CT/PT-chamber seals; feeder energy difference of 9.17%–19.75% across three consumers) led only to a 'possibility of theft'. The Court held there was no analysis converting that possibility into a case of clear theft: the main-meter seal was not found broken, nothing incriminating was found in the meter or metering system, and line loss on a mixed feeder was not shown to be solely attributable to the petitioner (no inspection of the other two consumers having been reported). Theft is a question of fact; a mere doubt or apprehension cannot found a proved case of theft so as to hold the consumer liable for unauthorised-use charges. The assessing authority was directed, on remand, to record specific findings as to how and on what basis a case of possibility of theft can be taken as actual theft within Section 135, leading to provisional and final assessment under the Code. ¶ 5, 12-14, 17-19

LIMITING FACTS

Industrial connection of M/s Kamakhya Steels Pvt. Ltd. (Bijnor); surprise check 22.06.2007 after MRI download 21.06.2007 found CT/PT physically OK, MRI cord defective, CT/PT chamber not properly sealed / seals tampered (wax/M-seal facilitating easy removal), outer box / Godrej lock of the meter room not properly sealed; no direct theft detected; assessment of Rs. 29,52,212; mixed 33 kV feeder also serving M/s Jain Steel and 33/11 kV S/S Avs Vikas.

HOLDING-UNIT · UP-2005::8.1

Final assessment that dismisses objections as 'not accepted' without engaging them, and converts 'possibility of theft' into a theft finding without analysis, is non-speaking and unsustainable

QUESTION

Is a final assessment sustainable where the assessing officer refers to each objection only to reject it as 'not accepted', neither reproduces nor discusses the points raised, and concludes theft solely because seals of the meter system were found tampered and line loss was reported?

HOLDING

No. The Court found, to its 'utter surprise', that the final assessment of 23.10.2007 (Rs. 29,52,212) referred to the paragraphs of the objection only to reject them, without applying its mind or even reproducing the points so that some consideration could be inferred. The concluding analysis (paras 34–37 of that order) did no more than restate that seals were tampered and energy-flow analysis showed line losses, and therefore unauthorised use by way of theft had taken place. That is not analysis converting possibility of theft into a clear case of theft. The assessment was quashed and remitted for a fresh order under the Code, after reconsidering the objections, with specific findings, within two months of production of a certified copy. Amounts already deposited are to remain with the respondents to abide that order. ¶ 8, 15-19

LIMITING FACTS

Objections dated 30.07.2007 (paras 12, 14, 18, 24, 25, 27, 28, 31, 34, 35 quoted by the Court) raised, inter alia: MRI of 21.06.2007 found nothing incriminating; main meter not tampered and was left in service; CT/PT chamber seals are not part of the meter; broken seal does not establish theft; Clause 6.8(vi) 3-working-day time-bar; assessment on consumption pattern / mixed-feeder losses is foreign to s.126.

FLAG The Court remitted for fresh 'provisional and final assessment under the U.P. Electricity Supply Code, 2005' on a theft allegation but did not cite a clause number. Keyed to Clause 8.1 (theft-assessment procedure) for indexing; the petitioner had invoked Chapter VIII and Clause 6.8(vi). Internal dates in the judgment are inconsistent (final assessment also referred to as 23.08.2007; appellate order variously 11.10.2007 / 08.04.2010 / 09.04.2012) — recorded as the judgment states them; the operative paragraph quashes the assessment of 23.10.2007, the appellate order in Appeal No. 17 of 2007-08, and recovery dated 09.04.2012.

INTERPLAY · EA2003::127

A Section 127 appellate order that brushes aside the grounds of appeal and affirms by reference to the checking report alone is sans reasons and unsustainable

QUESTION

Does a Section 127 appeal that does not discuss the grounds and pleadings raised, and dismisses the appeal as devoid of merit by referring only to the checking/summary report, survive once the underlying assessment is itself held non-speaking?

HOLDING

No. Several grounds were raised in appeal questioning the conversion of 'possibility of theft' into a theft finding; the appellate authority brushed them aside, referred only to the checking and summary reports, and dismissed the appeal as devoid of merit. That order is sans reasons and unsustainable. Once the final assessment is itself held bad, an appellate order affirming it without discussing the grounds of appeal is also rendered irrelevant. The appellate order (Appeal No. 17 of 2007-08) and the consequential recovery order dated 09.04.2012 were quashed along with the assessment. ¶ 2, 9, 18-19

LIMITING FACTS

The writ was framed as a challenge to the s.127 appellate order (para 2 of the judgment); the operative paragraph additionally quashes the recovery citation of 09.04.2012.

PRINCIPLE TAGS

theft-cannot-rest-on-mere-possibility Extends the SCJ-070 line from an MRI-pattern 'possibility of theft' to a checking report that itself records that no direct theft was detected and infers possibility only from CT/PT-chamber seals and mixed-feeder line losses: those facts cannot, without reasoned analysis converting possibility into a proved case of theft under s.135, support a Code assessment. A tampered outer/CT-PT seal without a finding that the meter itself was tampered or bypassed is not enough. Lead authorities: *Modern Terry Towels Ltd. v. Gujarat Electricity Board*. ¶ 7, 12-14, 16-19

only to mark it 'not accepted', without reproducing or discussing the points, is non-speaking; a s.127 appellate order that likewise brushes aside the grounds of appeal is unsustainable. Both were quashed and the matter remitted for a speaking reconsideration. ¶ 17-19

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THEFT OF ELECTRICITY WAS IN FACT COMMITTED, AND THE CORRECTNESS/QUANTUM OF THE ASSESSMENT (RS. 29,52,212)

Expressly not decided on the merits. The Court remitted for a fresh speaking order on how, if at all, possibility of theft becomes actual theft under s.135 and then a Code assessment. Amounts already deposited remain pending that order; the petitioner's claim to a refund of 'extra' deposit was not granted. ¶ 19-20

NOT DECIDED — WHETHER THE PROVISIONAL ASSESSMENT NOTICE WAS TIME-BARRED UNDER CLAUSE 6.8(VI) OF THE SUPPLY CODE (3 WORKING DAYS FROM INSPECTION)

Raised in the objections (checking 22.06.2007; provisional notice 18.07.2007, alleged 26 days later) and reproduced by the Court, but not independently decided; left to the fresh consideration on remand. ¶ 16 (objection para 31), 19

NOT DECIDED — WHETHER SEALS OF THE CT/PT CHAMBER FORM PART OF THE 'METER' SO THAT THEIR TAMPERING CAN FOUND A THEFT/UNAUTHORISED-USE ASSESSMENT

Raised in the objections (para 24) and reproduced; the Court rested on the absence of analysis converting possibility of theft into actual theft, without a standalone construction of that legal point. ¶ 16 (objection para 24), 19

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Modern Terry Towels Ltd. v. Gujarat Electricity Board</i> AIR 2003 Guj 63 Gujarat High Court	A broken seal, without more, does not establish theft of electricity.	Cited in the consumer's objections (reproduced by the Court at judgment para 16 / objection para 28) together with Chapter VIII of the Supply Code, 2005, for the proposition that a broken seal does not establish theft. The Court did not independently name-apply the case, but its own holding — that a checking-report 'possibility of theft' from tampered CT/PT seals, without meter tampering or bypass, cannot without reasons be converted into a finding of actual theft — is to the same effect. (The judgment's OCR reads 'Model Terry Towens' / 'Gujrat'.) ¶ 16	Petitioner	Referred